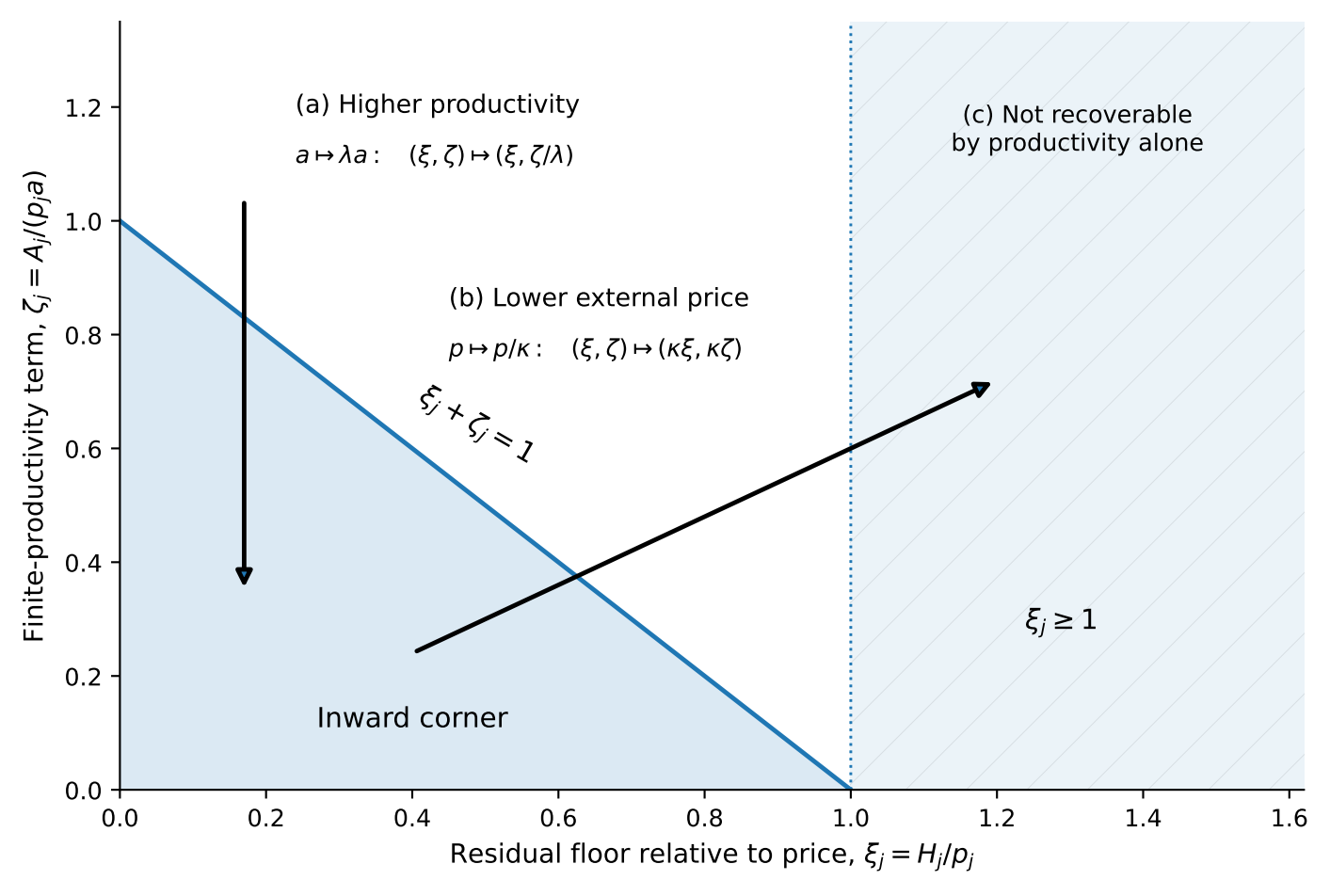
(a) Higher productivity
$a \mapsto \lambda a: \quad (\xi, \zeta) \mapsto (\xi, \zeta/\lambda)$
(b) Lower external price
$p \mapsto p/\kappa: \quad (\xi, \zeta) \mapsto (\kappa\xi, \kappa\zeta)$
$\xi_j + \zeta_j = 1$
(c) Not recoverable
by productivity alone
$\xi_j \geq 1$
Inward corner
Finite-productivity term, $\zeta_j = A_j/(p_j a)$
Residual floor relative to price, $\xi_j = H_j/p_j$
0.0
0.2
0.4
0.6
0.8
1.0
1.2
1.4
1.6